Chapter 9: Monopolistic Competition, Oligopoly, and Game Theory

Principles of Microeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 9: Monopolistic Competition, Oligopoly, and Game Theory, benchmarked to standard principles curriculum.

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1 Monopolistic Competition and Excess Capacity

Firms sell differentiated products with free entry. In long-run equilibrium, demand is tangent to downward-sloping ATC, resulting in excess capacity: $Q_{\text{actual}} < Q_{\text{efficient scale}}$.

2 Oligopoly Game Theory

Firms exhibit strategic interdependence. In a 2×2 Prisoner's Dilemma, dominant strategies lead to a non-cooperative Nash equilibrium where both firms discount, undercutting cartel profit.